

**Time:** 4 minutes**Outcome:** Evaluate the purpose, assumptions, simplifications, and limits of economic models.**Difficulty:** ●○○ Beginner

Models and Assumptions



THE CORE IDEA

Economic models simplify reality to isolate the relationships that matter for a particular question. The two-good abstraction exposes scarcity and opportunity cost without describing every output. Evaluate a model by its purpose, assumptions, performance, and relevant context. Extra complexity is useful only when its benefits exceed lost clarity or robustness. Apply a model where its important assumptions remain reasonable.



HOW TO RECOGNIZE IT

- Adding dozens of variables improves historical fit but makes the mechanism impossible to interpret.
- A central bank changes its policy rule, and a forecasting relationship estimated under the old rule breaks down.
- A local haircut model omits exchange rates and global shipping.
- An economist builds a simple two-market circular-flow model and leaves out banks, government, and foreign trade.
- An economist studies how price affects purchases while holding income constant.



WATCH OUT

Do not use the model without checking its purpose, assumptions, or evidence. Evaluate a model by its purpose, assumptions, performance, and relevant context.



WORKED EXAMPLE: TESTING A MODEL

A PPF model includes only two goods, even though real economies produce thousands. That simplification isolates scarcity and opportunity cost: moving toward more of one good requires less of the other. The model is useful for that purpose, but it would be inadequate for predicting the output of a specific industry without additional detail.



CHECK YOURSELF

What role does an assumption play in a model?

**READY?**

Return to the game and master this concept.